

Achieving Stability and Growth in the UK Chemical Sector



Prime Minister
10 Downing Street
London SW1A 2AA
Sent by email only

100 Parliament Street
London SW1A 2BQ

30 July 2026

Dear Prime Minister,

Achieving Stability and Growth in the UK Chemical Sector

Chemicals are critical to the UK's national security, resilience and economy. They underpin essential sectors such as food, healthcare, energy and defence.

Despite its strategic importance, the chemical sector is in long-term decline.¹ High energy costs, ageing infrastructure and under-investment in innovation are global issues. In the UK, these are compounded by regulatory complexity, policy instability, and the absence of a long-term strategy. Crucially, responsibility is often fragmented across departmental agendas which do not align to support the sector.

This poses a particular risk for industrial regions such as Teesside, Humber, Runcorn & Widnes and Grangemouth, where the sector creates prosperity. These clusters have valuable assets, including skilled workforces and strong research capabilities, which underpin nationally important supply chains.

With the right conditions, these assets could support a more competitive, innovative and greener sector, creating high-value jobs across the country. But the sector is shaped by international markets, private investment and complex global supply chains, so government cannot secure its future alone. It should work with industry to unlock investment and innovation, supporting reindustrialisation, protecting critical capabilities, creating skilled jobs and driving growth. This should build on measures such as the Critical Chemicals Resilience Fund. We make two recommendations to help create these conditions:

Recommendation 1: Appoint a minister with accountability for safeguarding the UK's critical chemical capabilities and delivering future innovation. Empower them to coordinate cross-government policy for the chemical sector.

This minister should be responsible for identifying the sector's role in delivering government priorities and empowered to resolve trade-offs between policies and departments. They will need to work beyond their own department, with a route to Cabinet-level decisions where agreement cannot be reached. A minister with responsibilities across BIST and DESNZ may be best placed for this role.

¹ Chemical Industries Association, [UK chemical sector faces further factory closures](#) (2026)

They will need to analyse the costs and benefits of policy choices, based on evidence and industry input. To do this they should be supported by a dedicated cross-government unit or taskforce, drawing on independent technical and industrial expertise, led by a credible trusted expert. This team should work across government, particularly with BIST, DESNZ, Defra and HMT.

Recommendation 2: Government should set out a clear long-term roadmap for the UK chemical sector within the next 12 months.

A sector roadmap is needed to provide direction for government, businesses and investors and should include targets for innovation, skills and regulation.

It should define the national outcomes the UK needs to secure (including food security, healthcare, clean energy, defence, critical infrastructure, industrial competitiveness and environmental protection) and the chemical capabilities and supply chains needed for resilience in 2035. It should then work backwards to identify the actions, assets, skills and regulatory conditions needed to deliver those.

Government should address five priorities through the roadmap:

- **Define the chemical capabilities and supply chains** the UK needs for national security, resilience and growth, identifying where domestic capability is essential and where diversified international supply, strategic partnerships, stocks or substitution can reliably meet needs. This should build upon analysis of critical chemicals already started by BIST.
- **Assess the viability of these capabilities**, including their dependencies on energy, feedstocks, infrastructure, skills, finance, regulation and international markets, and make strategic choices about interventions. This should include careful assessment of the role of European partners, who are seeking to stabilise and grow their chemical sectors.
- **Set a credible transition pathway** to a competitive, lower-carbon and more circular industry, which considers energy and carbon costs, sustainable feedstocks, existing assets and the infrastructure and skills needed.
- **Create the conditions for innovation and investment** by building on UK scientific strengths and improving access to finance, investment and shared infrastructure to support the next generation of technologies to scale in the UK.
- **Establish a proportionate regulatory framework** that protects people and the environment while supporting innovation and competitiveness. Government must work to reduce UK-EU market-access frictions, and provide clarity on its plans for UK Registration, Evaluation, Authorisation and Restriction of Chemicals (REACH) without delay.

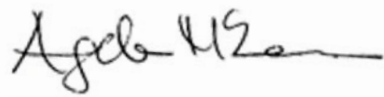
Realising this opportunity will require rigorous analysis, clear choices and sustained delivery. The roadmap and any interventions should be underpinned by evidence on the financial case, market dynamics, infrastructure and the sector's wider dependencies.

Together, these actions would provide the clarity and confidence to unlock private investment, revitalise industrial regions, support high-value jobs, and secure the UK's economic and strategic interests.

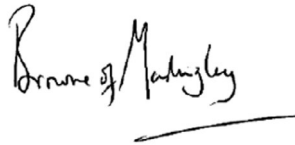
We would be happy to discuss our advice with you, and to work with your officials to fill evidence gaps and develop the proposed roadmap. We are grateful to Council members for developing this advice, in particular, Professor Lynn Gladden, Richard Slater, Professor Jim Hall, Mark Enzer and Dave Smith with support from learned societies, academics and trade associations.

This letter is copied to the Secretary of State for Business, Innovation, Science and Trade; the Secretary of State for Energy Security and Net Zero; the Secretary of State for Environment, Food and Rural Affairs; the Secretary of State for Defence; the Secretary of State for Transport; the Secretary of State for Foreign, Commonwealth and Development Affairs; the Secretary of State for Health and Social Care; the Chancellor of the Exchequer; the Chancellor of the Duchy of Lancaster; the Parliamentary Secretary for the Cabinet Office; the Cabinet Secretary and their relevant permanent secretaries.

Yours sincerely,



Dame Angela McLean
Co-chair



Lord Browne of Madingley
Co-chair

